

Robinhood Markets

NASDAQ : \$109.56B mkt cap · 888M sh · \$4.26B cash, zero debt · Net cash ~\$4.3B, no debt; ~888.5M shares and growing (SBC-dilutive); ~\$110B HOOD · Mature-market cap; Revenue \$4.473B FY25 (+49%); ~50% adj-EBITDA margin in Q1'26 (\$534M); FCF positive (~\$1.6B), but capital-light and Company DCF cyclical; Up ~9% YTD to ~\$123 (52-wk \$63.52-\$153.86), after a ~200% 2025 rally

\$123.30

THE CENTRAL QUESTION

Has Robinhood diversified beyond crypto and rates into a durable platform worth ~68x FCF — or is it still a transaction broker levered to the crypto and rate cycle?

Robinhood trades at ~\$110B (~\$123, up ~9% YTD after a ~200% 2025 rally) — ~68x FCF on \$4.473B revenue growing ~49%, ~50% adj-EBITDA margin, net cash, share count rising (SBC-dilutive). Roughly a third of revenue is rate-sensitive net interest (~\$40M/qtr per 25bp Fed cut) and transaction revenue is crypto/rate-cyclical (crypto -47% last quarter). The DCF asks whether events/futures/options/Gold make HOOD a durable platform or it reverts to a transaction broker. The finding: even the bull lands -55%, and the ultra-bull (-35%) still falls short — the price embeds a hyper-growth platform the modal case (-69%) doesn't deliver.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$39.45

expected fair value today
-68.0% vs spot \$123.30

most likely case (base) -69.0% · 100% at or below spot

FORWARD COMPOUNDED VALUE

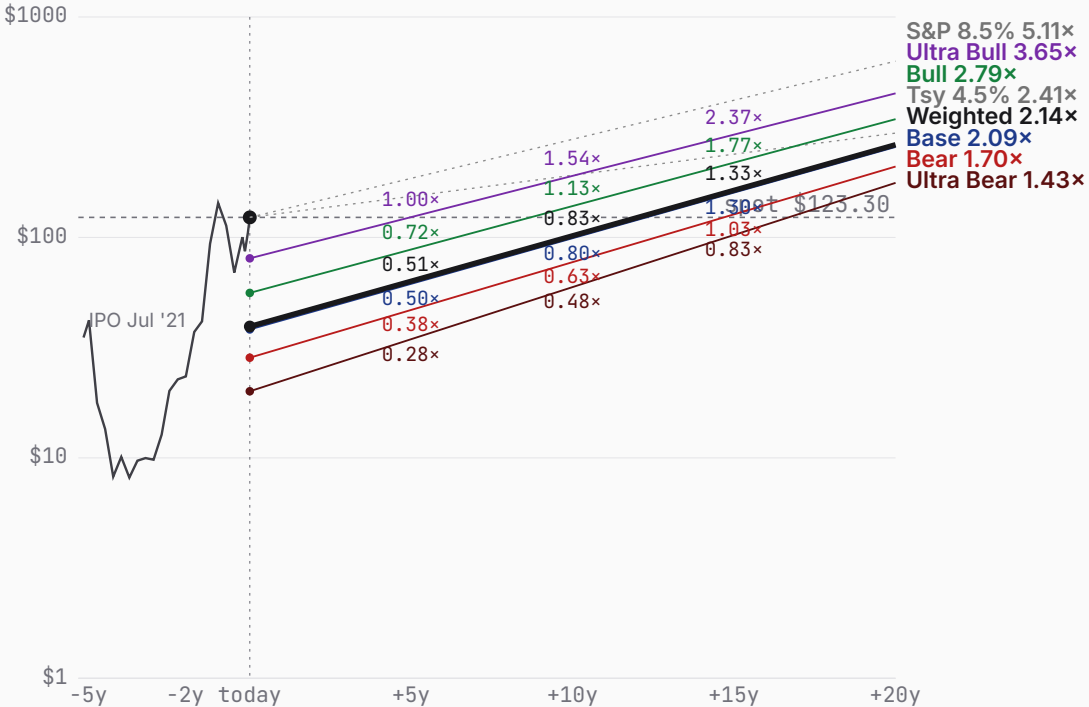
+5y	+10y	+15y	+20y
\$63.33	\$101.75	\$163.66	\$263.46
0.51x spot	0.83x spot	1.33x spot	2.14x spot

WEIGHTING RATIONALE

- Ultra Bear 15% Crypto rolls over; rate cuts bite; ~\$20 (-84%).
- Bear 27% Diversifies slowly; growth normalizes; ~\$28 (-77%).
- Base 32% Diversification holds; growth fades to high-single; ~\$38 (-69%).
- Bull 18% Platform scales on events/futures/Gold; ~\$56 (-55%).
- Ultra Bull 8% Full fintech platform; cyclical fades; ~\$80 (-35%).

Bull (18%) + Ultra Bull (8%) together contribute \$16.51 — 42% of the \$39.45 expected value despite 26% combined probability. Today's spot (\$123.30) sits 213% above the weighted expected; the forward-weighted value reaches spot in about 12 years.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$20.05	BEAR	\$28.47	BASE	\$38.25	BULL	\$56.02	ULTRA BULL	\$80.38
	-83.7% vs spot		-76.9% vs spot		-69.0% vs spot		-54.6% vs spot		-34.8% vs spot
CAGR +2.5% WACC 11.5% CAGR +2.5% Prob 15%		CAGR +5.8% WACC 10.5% CAGR +5.8% Prob 27%		CAGR +9.8% WACC 10.0% CAGR +9.8% Prob 32%		CAGR +14.5% WACC 9.5% CAGR +14.5% Prob 18%		CAGR +19.4% WACC 9.0% CAGR +19.4% Prob 8%	
Crypto rolls over; rate cuts bite.		Diversifies slowly; growth normalizes.		Diversification holds; growth decelerates to high-single.		Platform scales; events/futures/Gold compound.		Full fintech platform; crypto cyclical fades.	



Robinhood Markets scenario narratives

PROBABILITY WEIGHTS

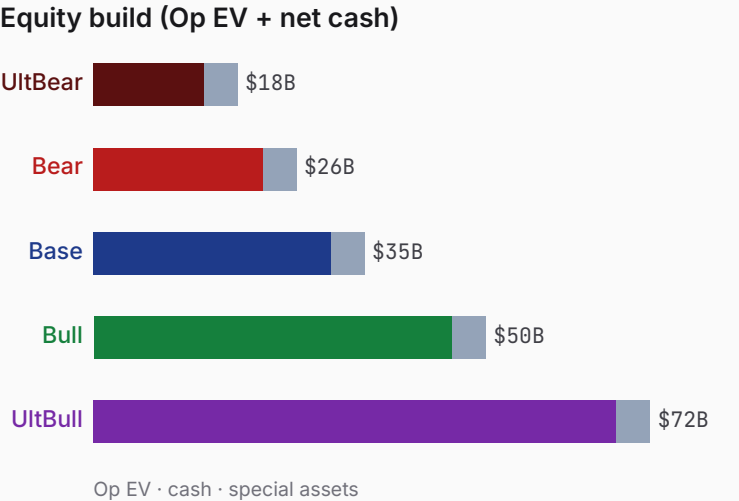
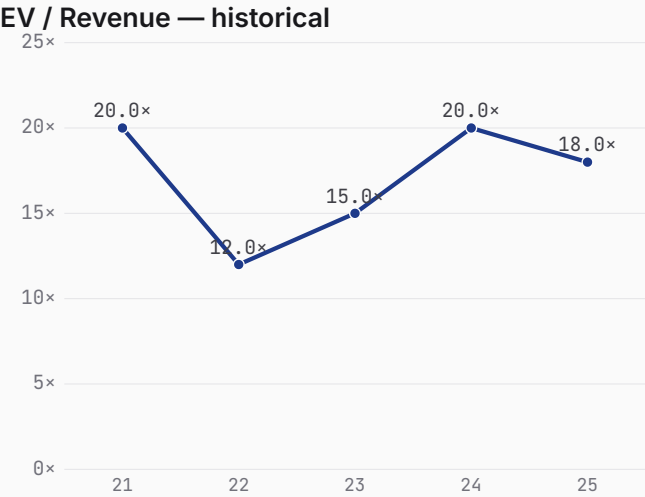
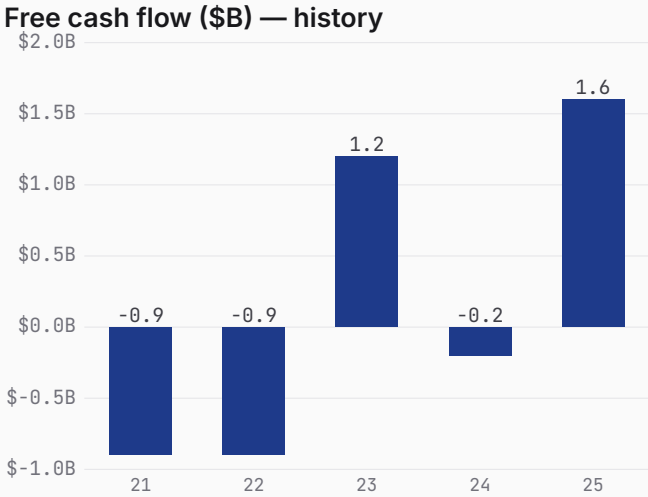
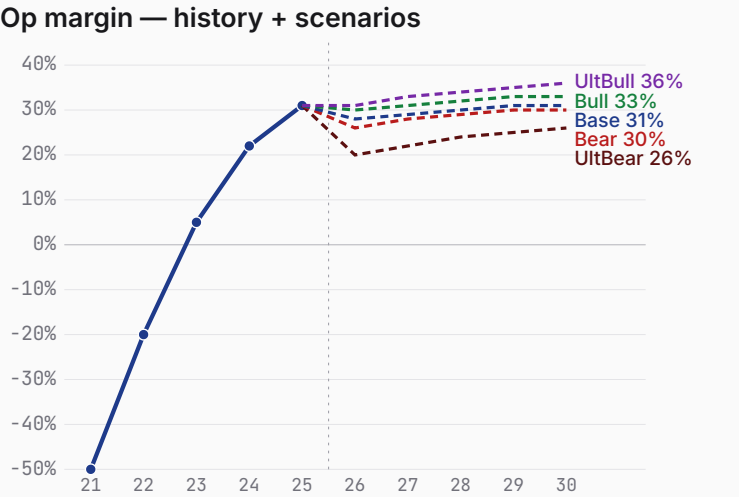
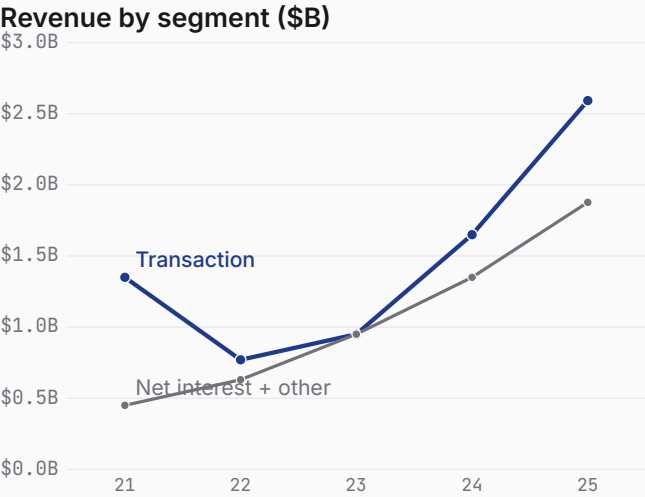
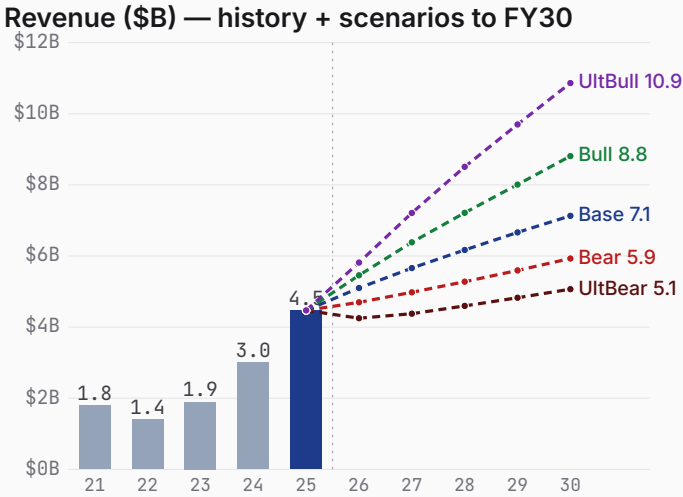
Ultra Bear 15% Bear 27% Base 32% Bull 18% Ultra Bull 8% · Weighted expected \$39.45 (-68.0% vs spot)

ULTRA BEAR	\$20.05	BEAR	\$28.47	BASE	\$38.25	BULL	\$56.02	ULTRA BULL	\$80.38
	-83.7% vs spot		-76.9% vs spot		-69.0% vs spot		-54.6% vs spot		-34.8% vs spot
Probability 15%		Probability 27%		Probability 32%		Probability 18%		Probability 8%	
Crypto rolls over; rate cuts bite.		Diversifies slowly; growth normalizes.		Diversification holds; growth decelerates to high-single.		Platform scales; events/futures/Gold compound.		Full fintech platform; crypto cyclicality fades.	
WHY 15%		WHY 27%		WHY 32%		WHY 18%		WHY 8%	
The genuine bear: crypto revenue already fell 47% in a single quarter and ~32% of revenue rides net interest into a cutting cycle. 15% weight on the cycle turning before diversification matures.		Diversification is real but partial, and the rate/crypto cycle caps the multiple. 27% as the plausible 'diversifies but stays cyclical' path given the Q1 mix shift.		Requires the new lines to keep scaling while crypto/rates stay choppy - consistent with the Q1 diversification but not a step-change. 32% as the central outcome.		Robinhood's ~50% EBITDA margin, 36% Gold-sub growth and 320% event-contract growth make a platform path credible. ~18% weight on the diversification compounding.		Everything compounds - events AND futures AND Gold AND banking AND a multiple that holds - the durable-platform outcome. ~8%, the long-duration tail.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
The cyclical case turns: crypto extends its slide (transaction already ~47% there last quarter), the Fed cuts and ~\$40M/qtr per 25bp drains net interest, and the events/futures push doesn't scale fast enough to offset. Revenue dips then crawls back low-single-digit as a transaction broker, not a platform.		Events/options/Gold grow but the crypto and rate cyclicality keep the top line lumpy; revenue normalizes to mid-single-digit as the hyper-growth fades and the SBC-driven share count keeps creeping. Robinhood is a good diversified broker, not a compounding platform.		The modal path: event contracts (+320% off a small base), futures (MIAXdx JV), options, Gold (4.3M subs/+36%) and banking/credit broaden the mix enough to keep ~30%+ FCF margins and double-digit-fading-to-high-single growth, but the crypto and rate cyclicality stays in the model. Revenue compounds toward ~\$7B.		The diversification thesis lands: prediction markets, futures, options and the Gold/banking ecosystem compound into a durable platform, deposit growth (~20%) cushions rate cuts, and Robinhood out-grows the cycle at a ~35% FCF margin. Revenue compounds high-teens early then high-single as the base scales.		The full second act: prediction markets become a major venue, futures/tokenized assets/Bitstamp scale globally, banking/credit deepen the relationship, and the revenue base diversifies enough that the crypto/rate cycle stops driving it - a true fintech platform at a high-30s% FCF margin. Revenue compounds ~20%+ early.	
A cyclical broker whose growth has reversed earns a low-teens FCF multiple → DCF ~\$20 (~84%). Net cash sets a floor, but at ~68x FCF entry the de-rate to a cyclical multiple is most of the loss.		DCF ~\$28 (~77%) - a ~30%-FCF-margin broker growing mid-single-digit is worth a mid-teens multiple, well below ~68x; the market's premium unwinds as growth normalizes.		DCF ~\$38 (~69%) - even crediting durable diversification at a ~16x FCF terminal, the modal case sits well below spot; ~68x FCF prices a faster, less cyclical platform than the base delivers.		DCF ~\$56 (~55%) - a genuine platform re-rate, yet still below spot; even crediting the bull case, ~68x FCF starts above where durable diversification gets you.		DCF ~\$80 (~35%) - the best path, yet well short of today's price, and it needs nearly everything to work; ~8% probability, the asymmetric outcome the rich entry is paying for.	

Robinhood Markets business snapshot

Bear \$28.47 Base \$38.25 Bull \$56.02

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 FY2026 results (Apr-28)



Sources: SEC XBRL company facts (CIK 1783879), Robinhood Q1 FY2026 release (net revenue \$1.07B/+15%, transaction \$623M incl event contracts \$147M/+320% and crypto \$134M/-47%, net interest \$359M/+24%, adj EBITDA \$534M/~50% margin, 27.4M funded customers). CAVEAT: XBRL tags no clean broker operating margin, so the op-margin history uses net-margin estimates. Revenue is a growth path off FY25; FCF = revenue x FCF margin; Gordon terminal. Multiples vs Coinbase / Schwab / IBKR.

Robinhood Markets 7 Powers · the moat, scored

Bear \$28.47 Base \$38.25 Bull \$56.02

Arena. Online brokerage / fintech rails - Robinhood (mobile-first broker, 27.4M funded customers, Gold ecosystem) vs Coinbase, Charles Schwab, Interactive Brokers, Webull, Cash App; auditing a nascent platform/branding Power against a weak moat and the transaction/rate cycle.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies · thesis leans here 	The dominant Power: 27.4M funded customers and ~\$4.5B revenue spread fixed tech/clearing/compliance cost - real operating leverage (~50% EBITDA margin), the source of the FCF.
Network Economies 	Nascent - prediction markets and a social/referral layer have mild network character, but trading isn't a true two-sided network.
Counter-Positioning 	Was the zero-commission disruptor that forced incumbents to drop fees; now the model is copied (Schwab/Fidelity went free), so the edge has eroded to brand/UX.
Switching Costs 	Weak - ACATS portability and low balances make accounts easy to move; this is the moat's central hole.
Branding 	A genuine consumer-fintech brand (the app + Gold ecosystem, default broker for a younger cohort), but young and not yet pricing power.
Cornered Resource 	None - no proprietary asset; order flow, rates and crypto venues are all contestable.
Process Power 	Fast product velocity (events, futures, banking, Bitstamp shipped quickly), but execution speed, not a structural process moat.

COMPETITIVE READ

Robinhood's Power is scale economies - 27.4M funded customers and ~\$4.5B revenue across fixed tech/clearing cost throw off a ~50% EBITDA margin and the FCF that supports the case - plus a nascent network/branding edge in the app and Gold ecosystem. But the moat is weak: switching costs are near zero (ACATS portability), the zero-commission counter-positioning has been copied, and the live threat is the transaction/rate cycle itself (crypto -47% last quarter, ~\$40M/qtr per 25bp rate cut) plus bigger brokers. The Audit: the scale Power is medium-durable, diversification is genuine but early, and that squares with a DCF where ~68x FCF prices a durable platform the modal case (-69%) doesn't deliver - even the ultra-bull (-35%), where the cyclicalicity fades, falls short of today's price.

PEER SET

Coinbase (COIN) The crypto-cycle benchmark; the comp for Robinhood's crypto-revenue swings and exchange economics.	40% gr · 30% mgn · ~25x EV/FCF
Charles Schwab (SCHW) Scale incumbent that went commission-free; far larger asset base, the brokerage the disruption targeted.	10% gr · 40% mgn · ~18x P/E
Interactive Brokers (IBKR) High-margin, rate-levered broker; the closest cyclical-broker multiple comp.	20% gr · 65% mgn · ~22x P/E
Webull / Cash App Mobile-first challengers competing for the same younger cohort; switching-cost pressure on the franchise.	20% gr · varies

THREAT VECTORS · FALSIFIERS

Scale Economies · The transaction + rate cycle falsifier: Crypto transaction revenue keeps falling and Fed cuts drain net interest, so revenue growth normalizes below ~10% before the new lines scale.
Switching Costs · Bigger brokers + mobile challengers (Schwab/Fidelity/Webull/Cash App) falsifier: Funded-customer or deposit growth stalls as low switching costs let balances migrate to incumbents or rivals.
Branding · Regulatory action (EU tokenized equities, prediction markets) falsifier: A regulatory curb on tokenized equities or event contracts caps the diversification lines the bull depends on.

Robinhood Markets show your work

Bear \$28.47 Base \$38.25 Bull \$56.02 · Weighted \$39.45 (-68.0%)

ULTRA BEAR					\$20.05	BEAR					\$28.47	BASE					\$38.25	BULL					\$56.02	ULTRA BULL					\$80.38						
ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS											
5y revenue CAGR (%)					+2.5	5y revenue CAGR (%)					+5.8	5y revenue CAGR (%)					+9.8	5y revenue CAGR (%)					+14.5	5y revenue CAGR (%)					+19.4						
Year-5 op margin (%)					26.0	Year-5 op margin (%)					30.0	Year-5 op margin (%)					31.0	Year-5 op margin (%)					33.0	Year-5 op margin (%)					36.0						
WACC (%)					11.5	WACC (%)					10.5	WACC (%)					10.0	WACC (%)					9.5	WACC (%)					9.0						
Terminal growth (%)					3.0	Terminal growth (%)					3.0	Terminal growth (%)					3.5	Terminal growth (%)					4.0	Terminal growth (%)					4.0						
Terminal FCF (\$B)					\$1.42B	Terminal FCF (\$B)					\$1.90B	Terminal FCF (\$B)					\$2.35B	Terminal FCF (\$B)					\$3.08B	Terminal FCF (\$B)					\$4.13B						
Starting revenue (\$B)					4.47	Starting revenue (\$B)					4.47	Starting revenue (\$B)					4.47	Starting revenue (\$B)					4.47	Starting revenue (\$B)					4.47						
Scenario probability (%)					15	Scenario probability (%)					27	Scenario probability (%)					32	Scenario probability (%)					18	Scenario probability (%)					8						
5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B											
FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF	
FY26	4.25	+20%	+0.94	+0.84		FY26	4.70	+26%	+1.31	+1.19		FY26	5.10	+28%	+1.53	+1.39		FY26	5.46	+30%	+1.75	+1.59		FY26	5.81	+31%	+1.92	+1.76		FY26	6.38	+31%	+2.11	+1.76	
FY27	4.38	+22%	+1.05	+0.84		FY27	4.98	+28%	+1.49	+1.22		FY27	5.66	+29%	+1.75	+1.45		FY27	6.38	+31%	+2.11	+1.76		FY27	7.21	+33%	+2.52	+2.12		FY27	7.21	+33%	+2.11	+1.76	
FY28	4.60	+24%	+1.20	+0.86		FY28	5.28	+29%	+1.64	+1.21		FY28	6.17	+30%	+1.97	+1.48		FY28	7.21	+32%	+2.45	+1.87		FY28	8.51	+34%	+3.06	+2.37		FY28	8.51	+34%	+3.06	+2.37	
FY29	4.83	+25%	+1.30	+0.84		FY29	5.59	+30%	+1.79	+1.20		FY29	6.66	+31%	+2.20	+1.50		FY29	8.01	+33%	+2.80	+1.95		FY29	9.70	+35%	+3.59	+2.54		FY29	9.70	+35%	+3.59	+2.54	
FY30	5.07	+26%	+1.42	+0.82		FY30	5.93	+30%	+1.90	+1.15		FY30	7.13	+31%	+2.35	+1.46		FY30	8.81	+33%	+3.08	+1.96		FY30	10.86	+36%	+4.13	+2.68		FY30	10.86	+36%	+4.13	+2.68	
Σ PV explicit FCF					+4.21	Σ PV explicit FCF					+5.98	Σ PV explicit FCF					+7.29	Σ PV explicit FCF					+9.13	Σ PV explicit FCF					+11.48						
+ PV terminal (g 3.0%)					9.98	+ PV terminal (g 3.0%)					15.81	+ PV terminal (g 3.5%)					23.26	+ PV terminal (g 4.0%)					37.03	+ PV terminal (g 4.0%)					55.80						
EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE											
Operating EV					\$14.19B	Operating EV					\$21.79B	Operating EV					\$30.55B	Operating EV					\$46.16B	Operating EV					\$67.28B						
+ Cash & investments					\$4.26B	+ Cash & investments					\$4.26B	+ Cash & investments					\$4.26B	+ Cash & investments					\$4.26B	+ Cash & investments					\$4.26B						
= Equity value					\$18.45B	= Equity value					\$26.05B	= Equity value					\$34.81B	= Equity value					\$50.42B	= Equity value					\$71.54B						
FY30 shares (M)					920	FY30 shares (M)					915	FY30 shares (M)					910	FY30 shares (M)					900	FY30 shares (M)					890						
= Expected per share					\$20.05	= Expected per share					\$28.47	= Expected per share					\$38.25	= Expected per share					\$56.02	= Expected per share					\$80.38						
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT											
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		
\$34.55	\$59.55	\$102.62	\$176.85		\$46.90	\$77.27	\$127.30	\$209.72		\$61.60	\$99.21	\$159.78	\$257.33		\$88.19	\$138.83	\$218.55	\$344.05		\$123.67	\$190.29	\$292.78	\$450.48		\$123.67	\$190.29	\$292.78	\$450.48		\$123.67	\$190.29	\$292.78	\$450.48		
0.28×	0.48×	0.83×	1.43×		0.38×	0.63×	1.03×	1.70×		0.50×	0.80×	1.30×	2.09×		0.72×	1.13×	1.77×	2.79×		1.00×	1.54×	2.37×	3.65×		1.00×	1.54×	2.37×	3.65×		1.00×	1.54×	2.37×	3.65×		

Robinhood Markets People · Opportunity · Context · Deal

Bear \$28.47 Base \$38.25 Bull \$56.02

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Vlad Tenev · founder-led 13 yrs in seat

12% insider ownership
MEDIUM key-person risk

Capital allocation (realized)
Co-founder Vlad Tenev is Chairman, CEO and President (co-founded 2013). The company is now profitable (FY2025 revenue ~\$4.5B, adjusted EBITDA ~\$2.5B) with ~\$5B cash and minimal debt. Capital return began post-profit: a \$1B buyback authorized May 2024, raised to \$1.5B by March 2026 (~\$1.2B executed), no dividend. Recent acquisitions include Bitstamp (~\$200M) and TradePMR (~\$300M); crypto is an expanding line. Co-founder Baiju Bhatt left management in 2024 (to found Aetherflux) but remains a director.

Incentive alignment
A notable shareholder-friendly action: the 2021 founder mega-RSU award (~\$4.7B at grant, vesting on \$120-\$300 price targets) was voluntarily cancelled in 2023 with none of it vested. Tenev holds ~6% economic / ~24% of the vote; the co-founders together control a majority of votes. Insider selling is recurring and 10b5-1-scheduled.

GOVERNANCE FLAGS

- three-class structure with Class B = 10 votes (held only by the co-founders): Tenev ~24% of the vote on ~6% economics, and the co-founders together control a majority of votes
- combined Chair & CEO (Tenev), mitigated by a long-tenured lead independent director (Jonathan Rubinstein)
- the super-voting sunset is distant (2036), so founder voting control persists for years
- co-founder Bhatt left management (2024) but remains a director and is selling down his Class B stake
- CEO split attention — Tenev is also executive chairman of a separate AI company (Harmonic)
- extensive regulatory history (SEC \$65M in 2020; FINRA \$70M in 2021 and ~\$30M in 2025 — payment-for-order-flow, supervision, AML)
- shareholder-friendly offset: the 2021 ~\$4.7B founder mega-RSU award was voluntarily cancelled in 2023, unvested

PEOPLE READ

A dual-class super-voting structure with the founders controlling a majority of votes, plus a combined Chair/CEO, are the entrenchment flags. They are offset enough to hold a 3 rather than drop lower: a long-tenured lead independent director, an 8-of-10 independent board with annual elections, the genuinely shareholder-friendly cancellation of the 2021 mega-award, and a now-profitable business returning capital. The extensive regulatory history is an operating/compliance flag rather than a structural one. Key-person risk is moderate given the deep, professionalized bench.

THE FOUR LEGS

People observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value + position sizing.
-68.0% vs spot \$123.30

Robinhood Markets supporting analysis · disclaimers · glossary

Bear \$28.47 Base \$38.25 Bull \$56.02

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

~68x FCF prices a platform, not a broker.
~50% EBITDA margin and +49% revenue look elite, but ~32% is rate-sensitive net interest and transaction is crypto-cyclical - even the bull is -55%.
- 2

Crypto -47% is the cyclicality, in the open.
Crypto transaction revenue fell 47% in a quarter; the offset (events +320%, options) proves the top line still swings with the trade.
- 3

Rate cuts are a mechanical drag.
~\$40M/qtr per 25bp Fed cut flows straight out of net interest - a multi-hundred-million headwind the multiple doesn't discount.
- 4

Diversification is genuine - but partial and early.
Events, MIAIdx futures, Gold (4.3M/+36%), banking/credit and Bitstamp broaden the mix, yet on small bases against the crypto/rate core.
- 5

SBC dilutes the per-share math.
Share count (~888.5M) keeps rising on stock comp; growth must outrun dilution to lift per-share value.

FALSIFICATION TRIGGERS

Bull validation

events + futures + options scale to a steady >25% of transaction revenue · net-interest share falls below ~25% · deposit/Gold growth holds >20% · FCF margin holds >=33% through a rate-cut cycle

Bear validation

crypto transaction revenue keeps falling and isn't offset · net interest drops materially on Fed cuts · revenue growth normalizes below ~10% · regulatory action on tokenized equities or prediction markets

Reframe needed

if crypto + net interest stay the swing factors and the new lines plateau, re-rate the terminal toward a cyclical-broker multiple (Coinbase/IBKR), not a platform

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Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

Author may hold positions.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Transaction revenue — Order-flow / transaction-based revenue from options, crypto, equities and event contracts (~\$623M Q1, options the largest); the crypto-cyclical core diversification is meant to de-risk.

Net interest revenue — Interest earned on margin loans, cash and securities (~\$359M Q1, ~32% of revenue); the rate-sensitive line losing ~\$40M/qtr per 25bp Fed cut - the swing factor against the cycle.

Event contracts / prediction markets — Yes/no contracts on real-world outcomes (~\$147M Q1, +320%); the fastest-growing new line and the centerpiece of the diversification thesis.

Gold subscription — Robinhood's ~\$5/mo membership (4.3M subs, +36%) bundling higher rates, margin and perks; recurring, counter-cyclical revenue that deepens the customer relationship.

FCF margin — Free cash flow / revenue (~30-38% across scenarios); the mature-DCF lever - whether diversification keeps the high margin durable as the crypto/rate cycle turns.